

01

WHY THE COMMISSION EXISTS

Vertical gap Union revenue capacity versus State service duties	Horizontal gap Unequal State capacity, need and cost	Answer line Periodic rule-based equalisation turns fiscal bargaining into constitutional
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02

CONSTITUTIONAL REVENUE SPINE

269 / 269A Assigned taxes and inter-State GST apportionment	270 / 271 Shareable taxes versus Union surcharge exclusion	279 / 279A CAG-certified net proceeds versus GST Council coordination
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03

ARTICLE 280 CORE

Clock Every fifth year or earlier; President constitutes	People Chairman plus four other members	Functions Vertical, horizontal, grants, local augmentation and referred sound-finance matters
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Every fifth year or earlier; President constitutes	Chairman plus four other members	Vertical, horizontal, grants, local augmentation and referred sound-finance matters
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04

1951 ACT

Qualifications

Public affairs; law, accounts, administration, economics

Integrity

Interest screen, disqualification, term and reappointment

Procedure

Own procedure plus specified civil-court inquiry powers



05

ARTICLE 281 STATUS CHAIN

Recommend

Expert report to President

Explain

Report plus action memorandum before both Houses

Implement

Order/law, Budget, guideline, release and audit are separate stages



06

DIVISIBLE POOL + VERTICAL SHARE

Base

GTR minus exclusions and collection cost

Rate

FC-16: States receive 41% of divisible pool

Concern

Excluded cesses/surcharges can shrink pool relative to GTR



07

FC-16 HORIZONTAL FORMULA

Equalisation

GSDP distance 42.5%; population 17.5%

Four tens

Demography, area, forest, GDP contribution

Methods

Inverse growth; 1.5% floor; weighted forest; square-root GSDP

08

GRANTS + LOCAL-BODY CHAIN

Instruments

Art 275 grants; Art 282 public-purpose power

Local chain

SFC evidence -> State fund augmentation -> onward transfer

Design

Basic/performance and tied/untied with accounts and eligibility

09

FC-16 GRANT MAP

Local bodies

Rs 7,91,493 crore for 2026-31

State disaster

Rs 2,04,401 crore for SDRF + SD MF

National disaster

Rs 79,406 crore for NDRF + NDMF

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EVOLUTION + CURRENT CONTROL

10

EVOLUTION + CURRENT CONTROL

FC-14

42% for 2015-20; autonomy shift

FC-15

41% for 2021-26; tax/fiscal effort included

FC-16

41% for 2026-31; GDP contribution introduced

11

INSTITUTIONS + CASE

Distinct bodies

FC, GST Council, NITI, CAG, RBI and SFC

Mohit Minerals

GST Council advice persuasive/non-binding

Boundary

Comparative use only; no Finance Commission holding

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TRAPS, REFORM, ANSWER

Traps

Chair+4; 41% of pool; laying is not adoption

Reform

CAG data, cess review, timely SFCs, debt transparency

Answer spine

Define -> Article -> evidence -> analysis -> qualification -> reform